

# HOW MUCH DO YOU NEED?

It's very important to be adequately insured. Check if your cover is enough.

| S.No. | FAMILY INCOME/EXPENSES                                                                                                                                                                                                                                                  | EXAMPLE (Rs)     | YOURS (Rs) |
|-------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|------------|
| 1     | Your monthly income                                                                                                                                                                                                                                                     | 50,000           |            |
| 2     | Multiply the above by the per cent of income you wish to cover (75%-80% is a good estimate). Ideally this should cover for food, utilities, clothing, etc. Include home loan repayment, if a surviving spouse will need to pay it over time.                            | 40,000           |            |
| 3     | Spouse's monthly take-home pay, if any, including any employer and provident fund benefits                                                                                                                                                                              | 15,000           |            |
| 4     | Subtract (3) from (2). This is roughly the monthly shortfall the surviving spouse and family would have                                                                                                                                                                 | 25,000           |            |
| 5     | Multiply (4) by 12 to annualise the amount                                                                                                                                                                                                                              | 3,00,000         |            |
| 6     | Multiply (5) by the number of years the spouse and family will need the replacement income (goes down as you age). Since that can be tough to gauge, the safe assumption is to insure the income for as many years as it takes your youngest child to complete college. | 30,00,000        |            |
|       | <b>THIS IS YOUR FAMILY-EXPENSE FUND</b>                                                                                                                                                                                                                                 | <b>30,00,000</b> |            |
| S.No. | Future FAMILY NEEDS                                                                                                                                                                                                                                                     | ACTUAL           | YOURS      |
| 1     | Family-expense fund                                                                                                                                                                                                                                                     | 30,00,000        |            |
| 2     | Child care                                                                                                                                                                                                                                                              | 5,00,000         |            |
| 3     | Emergency/Contingency fund                                                                                                                                                                                                                                              | 2,00,000         |            |
| 4     | Home loan pay-off                                                                                                                                                                                                                                                       | 10,00,000        |            |
| 5     | Debt pay-off                                                                                                                                                                                                                                                            | 50,000           |            |
| 6     | Retirement fund                                                                                                                                                                                                                                                         | 3,00,000         |            |
| 7     | Other needs                                                                                                                                                                                                                                                             | 3,00,000         |            |
|       | <b>TOTAL NEEDS</b>                                                                                                                                                                                                                                                      | <b>53,50,000</b> |            |
| S.No. | CURRENT ASSETS                                                                                                                                                                                                                                                          | ACTUAL           | YOURS      |
| 1     | Cash/Savings                                                                                                                                                                                                                                                            | 1,50,000         |            |
| 2     | House (current value-minus loan outstanding)                                                                                                                                                                                                                            | 20,00,000        |            |
| 3     | INVESTMENTS                                                                                                                                                                                                                                                             |                  |            |
|       | Stocks                                                                                                                                                                                                                                                                  | 1,00,000         |            |
|       | Bonds                                                                                                                                                                                                                                                                   | 50,000           |            |
|       | Mutual funds                                                                                                                                                                                                                                                            | 1,00,000         |            |
|       | Others                                                                                                                                                                                                                                                                  | 2,00,000         |            |
| 4     | RETIREMENT PLANS                                                                                                                                                                                                                                                        |                  |            |
|       | PF                                                                                                                                                                                                                                                                      | 2,00,000         |            |
|       | PPF                                                                                                                                                                                                                                                                     | 50,000           |            |
|       | Others                                                                                                                                                                                                                                                                  | 0                |            |
| 5     | Current life insurance                                                                                                                                                                                                                                                  | 10,00,000        |            |
| 6     | Other assets                                                                                                                                                                                                                                                            | 10,00,000        |            |
|       | <b>TOTAL ASSETS</b>                                                                                                                                                                                                                                                     | <b>48,50,000</b> |            |
|       | <b>INSURANCE NEEDS (Total need-Total assets)</b>                                                                                                                                                                                                                        | <b>5,00,000</b>  |            |